

Syrma SGS Technology Ltd

Concall Tracker — earning-trigger & management-consistency review | Report date: 5 July 2026 | Ticker: SYRMA (NSE/BSE)

1. Snapshot

What the business does: Syrma SGS is an **electronics manufacturing services (EMS)** company — it is a contract factory that designs and builds electronic products and circuit boards for other brands. Customers span cars (automotive), industrial equipment, consumer/telecom gear, healthcare and medical devices, railways and IT hardware. It earns money in two ways: plain "build-to-print" (make exactly what the client's drawing says) and higher-value **ODM** (Original Design Manufacturing — Syrma also does the design, which pays a fatter margin).

Figure (FY26, year ended Mar 2026)	Value	Plain-English read
Market capitalisation	₹26,533 cr	The total price the stock market puts on the whole company.
Revenue (consolidated)	₹4,857 cr	Total yearly sales, up about 27% (roughly a quarter) on last year.
Operating profit (EBITDA)	₹545 cr (11.3% margin)	Profit from running the business before interest, tax and wear-and-tear costs — up about 68%. It keeps ~11 paise of every sales rupee.
Net profit (PAT)	₹346 cr	The final profit after every cost and tax — up about 87%, nearly doubling, growing far faster than sales.
Order book	~₹6,600 cr	Confirmed future orders in hand — about 1.3 years of sales already booked.
Net cash	+₹467 cr	More cash than debt. A year ago it had net debt of ₹264 cr — a big balance-sheet swing to the good.
Return on capital (ROCE)	16.9% (~20% adj.)	For every ₹100 of capital employed it earns about ₹17 a year before tax — decent and rising.
Price-to-earnings (P/E)	~77x (consolidated)	Investors pay ~₹77 for every ₹1 of yearly profit — a very rich price that already assumes years of fast growth.

Data note: Screener's downloadable financial sheets for SYRMA are the **standalone** company (FY26 revenue ₹4,367 cr, net profit ₹293 cr). Management runs the business and gives guidance on a **consolidated** basis (which includes subsidiaries like Johari medical and the newly-bought Elcome defence unit). This report uses the **consolidated** figures management quotes in the calls; the ~₹490 cr revenue gap is simply the subsidiaries the standalone sheet leaves out.

2. Concall coverage

Twelve consecutive quarterly earnings calls were read in full, oldest to newest — covering three straight years (Q1 FY24 through Q4 FY26). The latest call was present and read; no gap was web-filled.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q1 FY24	Aug 2023	Yes	Q3 FY25	Jan 2025	Yes
Q2 FY24	Nov 2023	Yes	Q4 FY25	May 2025	Yes
Q3 FY24	Feb 2024	Yes	Q1 FY26	Jul 2025	Yes

Q4 FY24	May 2024	Yes	Q2 FY26	Nov 2025	Yes
Q1 FY25	Aug 2024	Yes	Q3 FY26	Jan 2026	Yes
Q2 FY25	Oct 2024	Yes	Q4 FY26 ★	May 2026	Yes (latest)

Span: 12 calls over ~3 years — a full, unbroken record, so the consistency read below is well-supported.

★ Latest concall highlights — Q4 & full-year FY26 (call held May 2026)

- **Best-ever quarter and year.** Q4 revenue ₹1,477 cr (up 56% on the same quarter last year — the strongest quarter Syrma has ever had). Full-year revenue ₹4,857 cr, up 27%; net profit ₹346 cr, up 87% — **profit grew about three times faster than sales** because bigger volumes spread fixed costs thinner (operating leverage).
- **Margins keep climbing.** Full-year operating margin reached 11.3%, up from 6.8% two years earlier — meaning each sales rupee now leaves nearly double the profit it did in FY24.
- **FY27 guidance raised on sales, held cautious on margin.** Management lifted its revenue-growth target to **35%** (from 30%) and set an EBITDA goal of **₹700 cr** (up from ₹545 cr). But it deliberately guided margin **lower, at 10.5–11%** — below the 11.3% just delivered — citing Middle-East tension, metal-price inflation and shipping disruption. This is the familiar "promise less, beat it" habit.
- **One deal dropped, one upgrade won.** The planned **KSolare (solar inverter) acquisition was cancelled** — the seller failed to meet the agreed conditions. Syrma still wants to enter solar/renewables but will now build its own plant instead of buying one. Separately, its credit rating was **upgraded from AA- to AA** (lenders see it as safer).
- **The big long-term build-out.** Its printed-circuit-board (PCB) factory has full government approval (under the ECMS scheme), construction started, and more approvals (for advanced PCB types) were added — a ~₹1,500 cr investment feeding revenue from FY28 onward. The Elcome defence-electronics business (60% bought in FY26) is now fully folded in as a new vertical.
- **Tone:** Confident about what was delivered ("a defining year"), but openly cautious on near-term margins — a measured, under-promise posture rather than hype.

2c. Business mix & capacity

Domestic vs export split: Exports ~24–25% of revenue in FY26 (₹1,200 cr, up 41%); the rest, roughly three-quarters, is sold within India. Plain read: about ₹1 in every ₹4 now comes from overseas customers — and that share is rising.

Order-book mix (Mar 2026): Automotive ~29%, consumer ~30%, industrial ~24%, healthcare ~5%, IT & railways ~11%, with defence (Elcome) ~5%. Plain read: no single end-market dominates, which spreads risk.

Capacity utilisation: Plants run at roughly 65–70% overall, and the newest plants (Pune, Bangalore) are still below 50%. Plain read: there is meaningful room to grow output on existing machines before big new spending is needed — good for future margins.

★ 3. Earning-trigger thesis

The core story management tells: Syrma deliberately shifted away from low-margin consumer/telecom work (which was ~54% of sales in early FY25) toward higher-value work — **exports, in-house design**

(ODM), and richer end-markets like automotive, industrial, medical devices and defence. That mix-upgrade is lifting margins and profit far faster than sales. On top of that sit two multi-year growth engines: a new **PCB (circuit board) factory** that makes something India today imports ~90% of, and a new **defence-electronics vertical** (Elcome). The thesis is not a promise — it is already showing up in the numbers.

Trigger	What management said	Evidence so far	Time horizon	Strength
Margin upgrade via better mix	Cut low-margin consumer, push exports/ODM/high-value verticals; margin to double-digit	Operating margin 6.8%→11.3% in 2 yrs; EBITDA ₹324→₹545 cr; consumer trimmed to ~30%	Delivered, ongoing	Strong
Exports growth	Cross ₹1,000 cr, head toward one-third of revenue	FY26 exports ₹1,200 cr (+41%), beat the ₹1,100 cr target; FY27 target ₹1,500 cr	Live, multi-year	Strong
ODM / design shift	Move from build-to-print toward in-house design (higher margin)	ODM revenue ₹453→₹825 cr (12%→17% of sales) in one year	Live, multi-year	Strong
PCB (circuit board) factory	~₹1,500 cr plant; India imports ~90% of PCBs; ~₹2,500 cr revenue potential	Government (ECMS) approvals in hand, land secured, construction started; funded ~50/50 equity/debt	Revenue FY28+	Moderate
Defence electronics (Elcome)	New vertical; ~₹200–300 cr revenue at 20–25% margin	60% stake bought & consolidated in FY26; now ~5% of order book	Live, early	Moderate
Medical devices (Johari/ MedTech)	Fast-growing, high-margin platform	Grew to ₹395 cr (+36%) in FY26 but was repeatedly delayed ~9–12 months earlier	Live, slower than hoped	Moderate
Solar / renewables	Enter via acquisition (KSolare)	Deal cancelled; now a greenfield plan, no revenue yet	Unproven	Weak/ Unproven

4. Management consistency scorecard

Period & promise	What actually happened	Verdict
FY24: "grow above industry, keep double-digit operating margin"	Grew fast (+54%) but margin fell to 6.8% as low-margin consumer/ telecom ballooned; management then re-set the target down to ~7%	Partly
FY24–25: cut consumer mix, lift margin to 7% → 8% → 8.5–9%	Consumer cut from ~54% to ~30%; margin actually hit 11.3% — beat every raised target	Delivered
FY25: exports to cross ₹1,000 cr	Missed in FY25 (~₹860 cr, ~₹200 cr short, blamed EU recession/tariffs); then beat it in FY26 at ₹1,200 cr	Partly (slipped a year)
Ongoing: cut working-capital cycle below 60–65 days	Stuck around 69–76 days for years; finally reached 63 days (58 ex-Elcome) only in FY26	Partly (late)
FY24 on: medical devices (Johari) a fast growth engine	Repeatedly pushed out ~9–12 months; did eventually grow to ₹395 cr in FY26	Partly (delayed)

Nov 2025: buy KSolare to enter solar inverters	Deal abandoned by May 2026; pivoted to building own plant	Dropped
PCB factory & Elcome defence deal	Both progressed as described — approvals, construction, consolidation all on track	Delivered / on-track

Narrative drift: The overall story has been **steady and has evolved sensibly, not chaotically**. The single guiding thread — "trade cheap volume growth for profitable growth" — was stated in FY24 and has been repeated and delivered every year since, with margins and profit rising exactly as promised. Management has a consistent habit of **guiding conservatively and then beating it** (they set FY27 margin guidance below what they just delivered). The honest blemishes are: (1) timing slips — exports, medical devices and working capital all took longer than first promised; and (2) one clean U-turn — the KSolare solar acquisition promised in late 2025 was scrapped by mid-2026. These are real but secondary against a backbone of delivery; the tone across all 12 calls stayed measured, never promotional.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live profit engine, and it is visibly working. The deliberate shift toward exports, in-house design and higher-value markets has already lifted the operating margin from 6.8% to 11.3% and nearly doubled profit in a single year — this is evidence on the table, not a hope. Behind it sit two genuine multi-year drivers (the circuit-board factory and the new defence business), both with government approvals and real spending underway. Some pieces are early or unproven (PCB revenue starts only FY28, solar is back to square one), but the headline trigger — profitable-mix growth — is strong, concrete and playing out now. This earns a clean Yes.

Management consistent? → YES

Across three years and twelve calls, management said it would swap low-margin volume for profitable growth, and it did — margins, profit and cash all moved the way they promised, and they have repeatedly under-promised and over-delivered on margin. The story never lurched; it stayed on one clear track. The Yes is honest but not unqualified: several goals arrived late (exports slipped a full year, medical devices and working-capital cleanup both dragged), and the KSolare solar acquisition was promised and then dropped. Those are genuine demerits. But they are timing and one reversal against a solid record of doing what was said on the things that mattered most. On balance — largely delivered, story steady — this is a deserved Yes, with the slippages flagged so the reader can watch them.

Prepared from Syrma SGS Technology Ltd earnings-call transcripts (Q1 FY24–Q4 FY26) sourced via Screener.in, cross-checked against Screener financial statements. Consolidated figures preferred where management guides on that basis. This is an educational summary of what management said and delivered, not investment advice.